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Case Number: 25STCP03898 Hearing Date: September 23, 2026 Dept: 833

SUPERIOR COURT OF CALIFORNIA

COUNTY OF LOS ANGELES

DEPARTMENT 833

TENTATIVE

RULING

COUNTY OF SANTA CRUZ HEALTH AGENCY,

Petitioner,

v.

CALIFORNIA DEPARTMENT OF HEALTH

CARE SERVICES, et al.,

Respondents.

Case No:

25STCP03898

Hearing Date: September 23, 2026

Calendar Number: 9

Petitioner County of Santa Cruz Health Agency (the "County")

petitions the Court for a writ of mandate to set aside and reverse an audit adjustment by respondents Department of Health Care Services (the “Department”) and its Director, Michele Baass (collectively, “Respondents”), which reduced the County’s Mental Health Plan program’s entitlement to federal funds.

The Court GRANTS the Petition. The Court sets aside the decision of the Administrative Law Judge (the “ALJ”) and remands the matter to the ALJ to make findings consistent with this Order and relevant statutes and regulations.

The ALJ, the Department, and the County face a challenging task of applying a complex series of federal and state regulations and guidance materials that are not a model of clarity. The federal regulations and guidance documents apply a confusing set of overlapping and shifting terminologies and definitions. At the highest level, the Court concludes that the finding by the ALJ that the costs at issue benefited multiple cost objectives requires a different analysis to properly allocate those costs. The Court remands the case to the ALJ to perform the analysis based on the facts before it.

Background

The County filed its petition for a writ of administrative mandate on October 7, 2025 against the Department and its director. As noted above, the petitioner here, which this ruling refers to as the “County,” is more specifically a local county agency that administers the Mental Health Plan for the County of Santa Cruz. (Pet., ¶¶ 1, 4.) The Department, the primary respondent here, is a California State-level department that, among other things, reviews and adjusts annual cost reports from locally-administered Mental Health Plans before costs in those reports are approved for reimbursement from federal funding programs (“federal reimbursement”).

The Department is the California agency responsible for administering California’s Medi-Cal program, which is a public health insurance system assisting low-income individuals and others. (1 AR 15 [ALJ Opinion (“ALJ Opn.”), 3:1-3].) The Department contracts with certain counties (like Santa Cruz) to provide mental health services to eligible Medi-Cal beneficiaries. (1 AR 15 [ALJ Opn., 3:4-10].) To obtain reimbursement, the County files an annual cost reporting and data collection report with the Department, which sets forth the County’s costs in providing mental health services to Medi-Cal beneficiaries. (1 AR 16-17 [ALJ Opn., 4:12-5:3].)

The County disputes one of the Department's adjustments to the cost report that the County submitted for its Mental Health Plan, covering the fiscal year ending in June 2012, which is the financial year end for 2012 (the "Cost Report"). The County contends that the Department erroneously adjusted the Cost Report in a manner that unlawfully reduces the Mental Health Plan's entitlement to federal reimbursement. The Department stands by the adjustment.

According to applicable statutes and regulations, the Mental Health Plan's entitlement to federal reimbursement depends primarily on the identification of "direct costs" and "indirect costs" and the assignment and allocation of costs to one of three "cost objectives" identified in federal awards: (1) mental health services or patient care, (2) utilization review/quality assurance, and (3) plan administration. Once costs are characterized as direct or indirect, different rules govern their allocation across cost objectives. For purposes of reimbursement, "direct costs" are generally assigned to the objectives with which the costs are specifically identified. "Indirect costs," however, which are not easily identified with a specific objective, are equitably distributed among the three objectives.

Crucially for the parties' dispute, state law caps federal reimbursement of "administrative costs" at "15 percent of the total actual cost of direct client services." (Welf. & Inst. Code, § 14711(c).) Costs associated with other cost objectives are not similarly limited. (See County's Opening Brief ("Opening Brief"), 4:28-5:4.)

The County contends the Department's audit of its Cost Report over-assigned Mental Health Plan costs to the "plan administration" objective, which limited the Mental Health Plan's entitlement to federal reimbursement because "plan administration" costs are subject to the 15% cap. If certain costs had been treated as mental health services or quality assurance costs, they would have been entitled to federal reimbursement; characterized as plan administration costs, they are not. (See *ibid.*)

The County submitted the Cost Report on September 16, 2016. Within the Report, the County included \$2,592,966.00 in costs (the "Disputed Costs") which it characterized as " 'Legal and Accounting' expenses" (Pet., ¶ 35.) The parties also refer to the Disputed Costs as "costs ... associated with patient data and patient accounting". (Opening Brief, 5:20; see also 1 AR 17 [ALJ Opinion, 5:4-11].) On September 20, 2019, the Department issued its audit report

for the County's Cost Report. (Pet., ¶ 36.) In the audit report, the Department "reclassified [the County's] reported patient data and patient accounting costs to the administrative cost center", which made a large portion of those costs ineligible for federal reimbursement. (Id., ¶ 36.)

The County informally appealed, then formally appealed. (Id., ¶¶ 37-40.) An ALJ conducted a formal appeal hearing on June 24-25, 2024 and issued a decision on April 28, 2025 that upheld the determination in the Department's audit without modification. (Id., ¶¶ 41-43; 1 AR 13-40 [ALJ Opn].) The written decision became final on August 12, 2025. (1 AR 9.) This petition followed.

The Court held a trial setting conference on January 13, 2026 and set oral argument on the petition for July 1, 2026. On April 28, 2026, the parties stipulated to augment the administrative record to include transcripts of hearings before the ALJ and certain exhibits (the County's Exhibits N through V) that were admitted at the hearing but not included in the administrative record.

The County filed its opening brief on May 1, 2026. On the same date, it lodged the administrative record with the Court in the form agreed upon by the parties. On May 28, 2026, Respondents filed their brief in opposition. On June 16, 2026, the County filed its reply brief and lodged the parties' Joint Appendix to the Administrative Record. After a July 1, 2026 hearing on the petition, the Court called for further briefing. The parties filed their supplemental brief, opposition, and reply on August 17, August 24, and September 4, 2026, respectively. The parties returned for a second hearing on September 23, 2026.

Legal Standard

The Superior Court may issue a writ of mandate "for the purpose of inquiring into the validity of any final administrative order or decision made as the result of a proceeding in which by law a hearing is required to be given, evidence is required to be taken, and discretion in the determination of facts is vested in the inferior tribunal, corporation, board, or officer[.]" (Code Civ. Proc., § 1094.5(a).)

"The inquiry in such a case shall extend to the questions whether the respondent has proceeded

without, or in excess of, jurisdiction; whether there was a fair trial; and whether there was any prejudicial abuse of discretion. Abuse of discretion is established if the respondent has not proceeded in the manner required by law, the order or decision is not supported by the findings, or the findings are not supported by the evidence.” (Id., subd. (b).)

“In an administrative writ proceeding that ... does not involve a fundamental vested right, the trial court reviews the agency's factual findings for substantial evidence and its legal conclusions de novo.” (Reznitskiy v. County of Marin (2022) 79 Cal.App.5th 1016, 1023; accord E.W.A.P., Inc. v. City of Los Angeles (1997) 56 Cal.App.4th 310, 325.) Substantial evidence is relevant evidence that a reasonable mind might accept as adequate to support a conclusion (California Youth Authority v. State Personnel Board (2002) 104 Cal. App. 4th 575, 584-85), or evidence of ponderable legal significance which is reasonable in nature, credible, and of solid value. (Mohilef v. Janovici (1996) 51 Cal. App. 4th 267, 305 n. 28.) “Courts may reverse an [administrative] decision only if, based on the evidence ..., a reasonable person could not reach the conclusion reached by the agency.” (Sierra Club v. California Coastal Com. (1993) 12 Cal.App.4th 602, 610.)

However, “[o]n questions of law arising in mandate proceedings, [the court] exercise[s] independent judgment.” (Christensen v. Lightbourne (2017) 15 Cal.App.5th 1239, 1251.) The interpretation of statute or regulation is a question of law. (See State Farm Mut. Auto. Ins. Co. v. Quackenbush (1999) 77 Cal.App.4th 65, 77.)

Discussion

1. Standard of Review

As a threshold matter, the parties dispute the standard of review the Court should apply in this case. Respondents contend the Court should review the ALJ's decision for substantial evidence. (Respondent's Opposition Brief (“Opposition Brief”), 10:18-21.) The County argues it relies entirely on the ALJ's purported error of law, such that the Court should apply its independent judgment, functionally reviewing the ALJ's decision de novo. (County's Reply Brief

("Reply Brief"), 4:26-5:3.)

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County's petition depends on a question of law. Pure questions of law in mandate proceedings are subject to the Court's independent judgment. (*Christensen v. Lightbourne*, *supra*, 15 Cal.App.5th, at p. 1251.) Rather than conducting a substantial-evidence review based on only part of a voluminous administrative record, the Court remands the dispute to the ALJ for the ALJ to correctly apply the law.

2.

Applicable Laws and Regulations[1]

The

reimbursement process for government-funded, locally-administered health programs like the Mental Health Plan is governed by a host of interlocking federal and state laws and regulations.

The Mental Health Plan obtains reimbursement from the federal government's low-income Medicaid program via the state's analogous Medi-Cal program. The federal funds are disbursed from the federal Department of Health and Human Services through its responsible subdivision, the Center for Medicare and Medicaid Services (CMS). CMS makes arrangements with state-level agencies, like the Department, for reimbursement. CMS's arrangements with state agencies govern federal reimbursement for individual programs. Here, the governing arrangement is the "Section 1971.5 Waiver" approved by CMS for the Department. (See 1 AR 19-20 [ALJ Opn. 7:6-8:5].)

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Section 1971.5 Waiver (named for a particular portion of the federal Social Security Act) binds the Department to follow federal regulations and guidance in administering federal reimbursement for state and local programs. (See 1 AR 24-34 [ALJ Opn. 12:12-22:8].) Those regulations lay out a host of cost-reporting procedures that local agencies and the Department must follow in order to obtain federal reimbursement. (*Ibid.*) "The Department's relationship with providers [like the Mental Health Plan] is similar to a contract, the terms of which include and are limited by the laws and valid regulations applicable to the Medi-Cal program." (1 AR 34 [ALJ Opn. 22:3-8].)

State law requires the Department to "develop ... a reimbursement methodology for use in the Medi-Cal claims processing and interim

payment system that maximizes federal funding and utilizes, as much as practicable, federal Medicaid and Medicare reimbursement principles.” (Welf. & Inst. Code, § 14711(a).)

The

parties’ dispute here turns on the interpretation and application of two sets of terms that recur throughout the various laws, regulations, and agreements:

(1) The allocation of costs between the three “cost objectives” that all reimbursable costs must serve in order to be eligible for federal reimbursement; and

(2) The characterization of the costs as “direct” or “indirect” and the effect, if any, the characterization has on their allocation between the three cost objectives.

a.

Cost Objectives

A

“[c]ost objective means a program, ... award, ... contract, [etc.] for which cost data are desired and for which provision is made to accumulate and measure [certain relevant costs]. A cost objective may be a major function of [a] non-Federal entity, a particular service or project, a Federal award, or an indirect (Facilities & Administrative) cost activity” (10 AR 8489 [2 C.F.R. § 200.1].)

For

programs like the Mental Health Plan, the parties agree there are three relevant cost objectives, sometimes called “cost centers.” As described in DMH regulatory guidance, the three objectives are:

(1) “[T]he provision of mental health services”, also called the “medical assistance (i.e., direct client services)” (“mental health services”);

(2) “[U]tilization review/quality assurance activities” or “UR/QA activities” (“quality assurance”); and

(3) “Administration of the mental health plan”

("plan administration").

(10 AR 7966 [DMH Letter 11-01, p. 2.]; see also 10 AR 8080 [BHIN No. 21-027, p. 2].)

The relevant regulations and regulatory guidance refer to the cost objectives with a confusing variety of terms. [2] The Court adopts the terms defined in the parentheticals above to describe these three objectives: (1) mental health services, (2) quality assurance, and (3) plan administration.

The "mental health services" cost objective refers, in a general sense, to the actual provision of healthcare to patients. Costs allocable to mental health services include, for example, "the costs for direct practitioners, medical equipment, medical supplies, [or] psychiatric inpatient hospital services" (10 AR 8081 [BHIN No. 21-027, p. 3].)[3]

The second objective, "quality assurance," refers to activities such as "monitoring and measuring performance, designing and implementing quality standards, developing policies and procedures for Quality Assurance, reporting and disseminating guidance, [and] authorizing and coordinating service delivery" (10 AR 8083 [BHIN No. 21-027, p. 5].)

The third objective, "plan administration", refers to activities that support, for example, "Management Information Systems", "Access and Availability of Services", "Beneficiary Problem Resolution", or "Reporting Requirements", and "for developing policies and procedures, implementing and managing processes, and monitoring compliance to administrative requirements." (10 AR 8084 [BHIN No. 21-027, p. 6].) DMH Guidance also refers to the plan administration objective under the heading "Administrative Costs" and describes relevant costs as "expenditures incurred for activities necessary for the proper and efficient administration of community mental health programs. Proper and efficient planning and administration includes outreach, eligibility intake, contract administration, program planning and policy development, administrative case management, program coordination and claims administration." (10 AR 7986-7987 [Cost Reporting Instructions, pp. 17-18].)

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is apparent from the definitions themselves, the precise distinction between these three objectives is not always clear. For example, the guidance defines the latter two objectives, quality assurance and plan administration, by reference to eleven of more than a dozen attachments to Exhibit A to the DHCS/CMS Waiver, with each attachment describing a different subset of local agencies' Scope of Work. (See 10 AR 8083-8084 [BHIN No. 21-027, pp. 5-6].)

b. Direct and Indirect Costs

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process for allocating costs to appropriate objectives is partly governed by their character as "direct" or "indirect" costs.

"Direct costs are those costs that can be identified specifically with a particular final cost objective ... or that can be directly assigned to such activities relatively easily with a high degree of accuracy." (10 AR 8501 [2 C.F.R. § 200.413].)

"Indirect ... costs means those costs incurred for a common or joint purpose benefitting more than one cost objective, and not readily assignable to the cost objectives specifically benefitted, without effort disproportionate to the results achieved." (10 AR 8494 [2 C.F.R. § 200.1].)[4]

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costs are either direct or indirect; "[t]he total cost of a Federal award is the sum of the allowable direct and allocable indirect costs minus any applicable credits." (2 C.F.R. § 200.402.)[5] "There is no universal rule for classifying certain costs as direct or indirect costs. A cost may be direct for some specific service or function but indirect for the Federal award or other final cost objective." (2 C.F.R. § 200.412.)[6] However, "[i]dentification with the Federal award rather than the nature of the goods and services involved is the determining factor in distinguishing direct from indirect ... costs of Federal awards." (10 AR 8501 [2 C.F.R. § 200.413(b)].)

3. Administrative

Law Judge Ruling

With all the above in mind, the Court turns to the ALJ's

opinion issued April 28, 2025 and finally adopted August 12, 2025. (See 1 AR 9, 13-40 [ALJ Opn.].) The Court quotes the ALJ's relevant findings with internal footnotes omitted:

"Provider is entitled to reimbursement for costs incurred performing three categories of activities. [Footnote.] ... [¶] The sole issue in this appeal is whether the Department correctly made adjustment 6 that allocated [the Disputed Funds] to administrative costs rather than direct service or indirect costs as [the County] maintains."

(1 AR 35-36 [ALN Opn. 23:13-14, 23:19-24:2].)

"The [Disputed Costs] benefit all three final cost objectives"

(1 AR 36 [ALJ Opn., 24:2-3].)

"The description of the activities of the staff involved here[] establish that they supported the administration of the mental health plan. The Department correctly determined ... the costs were administrative in nature. As a result, the Department reclassified these costs from direct services to the administrative cost objective."

(1 AR 36 [ALJ Opn., 24:16-17].)

"There is confusion in this case regarding the designation of costs as direct or indirect as well as the assignment of costs with the direct services and administrative cost centers at issue in this appeal. The [Disputed Costs] are not direct services costs They may be costs that support the clinical personnel providing mental health services, but that very description makes them administrative in nature as these personnel are not, themselves, delivering a mental health service.

The activities of staff in this case were central and necessary to administer the mental health plan and benefitted multiple cost objectives. ... [W]hen there are costs that benefit multiple cost objectives but can be assigned, the costs will be

categorized as direct costs. In this case, Provider was readily able to identify its costs.

Whether the costs

at issue are direct or indirect they still must be placed in the appropriate cost center. Here, the Department reclassified [the Disputed Costs] to the administrative cost center. As described above, treatment of these costs as administrative is consistent with [relevant regulations].”

(1 AR 39 [ALJ Opn., 27:1-9].)

The ALJ was not explicit as to whether she determined the Disputed Costs were direct or indirect. In the second-to-last paragraph, it appears that the ALJ is treating the Disputed Costs as direct costs because they “can be assigned.” But in the last paragraph, the ALJ appears to say that it is appropriate to assign the costs to plan administration whether they are direct or indirect costs. The rationale used for assigning them to plan administration is the ALJ’s conclusion that they were by description “administrative in nature.”

4.

Application of Regulations to ALJ Decision

The Court begins with the ALJ’s finding that “[t]he [Disputed Costs] benefitted all three cost objectives” (1 AR 36 [ALJ Opn., 24:2-3].) The ALJ mentioned this finding several times, stating that the activities of staff which were the subject of the Disputed Costs “were central and necessary to administer the mental health plan and benefitted multiple cost objectives.” (1 AR 39 [ALJ Opn., 27:0-11].)

According to the County, because the ALJ found the Disputed Costs are “‘multi-benefit cost[s]’,” the Disputed Costs must either (1) be treated as direct costs and assigned proportionally to the objectives benefitted, or (2) be treated as indirect costs and distributed equitably across all objectives. (Opening Brief 11:1-4.) The County contends the ALJ found the Disputed Costs to be “multi-benefit,” then assigned them wholesale to plan administration, which is not permitted under relevant regulations and violates state law requiring the Department to maximize federal reimbursement.

In opposition, Respondents argue that the ALJ found the

Disputed Costs are direct costs, not indirect costs. (Opposition Brief, 15:1-14.) The definition of indirect costs is conjunctive: indirect costs must (1) benefit more than one objective, and (2) not be readily assignable to a specific objective. The ALJ found the former element satisfied, but not the latter. The ALJ found that (1) the Disputed Costs can be identified with a final cost objective (plan administration) and (2) can be directly assigned to plan administration relatively easily with a high degree of accuracy. (Opposition Brief, 14:3-15.)

The Court concludes that in determining whether the cost allocation is appropriate, the proper analysis must (i) determine whether the costs were direct or indirect; (ii) depending on that determination, use the proper criteria to assign costs to particular cost objectives; and (iii) make this determination in light of the objectives served by the cost objectives, not the way the task appears when it is performed. On this latter point, the question is not whether the task appears “administrative in nature” in the colloquial sense but which of the three plan objectives it most closely serves. For example, the fact that an executive assistant working on a computer is the one being paid does not alone answer the question of how to allocate the funds; the question is whether that executive assistant is serving one of the three cost objectives.

Because the ALJ's analysis was not consistent with this framework, the Court grants the writ and remands the matter to the ALJ for further proceedings.

A.

Allocation of costs benefiting multiple cost objectives

The County argues that costs benefitting multiple cost objectives are by definition indirect costs. The Court cannot agree that this is universally true. The definition of direct costs is: “those costs that can be identified specifically with a particular final cost objective ... or that can be directly assigned to such activities relatively easily with a high degree of accuracy.” (10 AR 8501 [2 C.F.R. § 200.413.], emphasis added.) It is theoretically possible that costs cannot be “identified specifically” with only one cost objective but nevertheless may be ‘directly assigned to such activities relatively easily.’ If, upon remand, the Court determines that the Disputed Costs are in whole or in part direct costs because they can be assigned to particular cost objectives

“relatively easily,” it may make that finding and explain why.

Even if these are direct costs, however, that does not mean that it is permissible to simply allocate all those costs to just one of the three objectives without further analysis other than by reference to the nature of the work. Instead, if the ALJ determines that the Disputed Costs benefitted multiple objectives, the regulations state that the ALJ was next required to question whether the Costs’ proportional benefit to each objective could be determined without undue effort or cost.

This requirement appears at 2 C.F.R. § 200.405(d), under the heading “Direct cost allocation principles”:

“If a cost benefits two or more projects or activities in proportions that can be determined without undue effort or cost, the cost must be allocated to the projects based on the proportional benefit. However, when those proportions cannot be determined because of the interrelationship of the work involved, then ... the costs may be allocated or transferred to benefitted projects on any reasonable documented basis.”

(2 C.F.R. § 200.405, subd. (d).)

This regulation gives two options for allocating direct costs that benefit more than one cost objective: (a) proportionally, if that can be done without undue effort, or if not, (b) “any reasonable documented basis.” (Ibid.) If neither method works, the costs are necessarily indirect costs because they are costs “benefitting more than one cost objective, and not readily assignable to the cost objectives specifically benefitted, without effort disproportionate to the results achieved.” (10 AR 8494 [2 C.F.R. § 200.1].)

Thus, the regulations provide three ways to distribute costs which benefit more than one cost objective. The more difficult it is to ascertain the objectives served, the more latitude allowed to the Department:

First, if direct costs can be apportioned without undue effort, they should simply be apportioned. (2 C.F.R. § 200.405, subd. (d).)

Second, if apportioning direct costs would require undue

effort, the Department may resort to a “reasonable documented basis.” (2 C.F.R. § 200.405, subd. (d).)

Third, if apportionment requires undue effort and no reasonable documented basis is available, then they may be treated as indirect costs and apportioned equitably. (2 C.F.R. § 200.405, subd. (b) [all activities benefiting from an indirect costs “will receive an appropriate allocation of indirect costs].)

The ALJ’s analysis must consider whether the Disputed Costs are direct costs or indirect costs, and allocate them accordingly. The ALJ’s opinion seemed to determine that the costs were direct costs, but did not state this clearly or give the reasons. This is an important first step to determining the proper allocation.

B.

“Administrative in nature” is not a recognized allocation criterion

Moreover, the ALJ did not make findings that matched the Disputed Costs with the objectives served by the Disputed costs. To support the conclusions that the Disputed Costs are direct and should all be assigned to plan administration, the ALJ made the following findings:

(1) The Disputed Costs arose from “activities ... that [] supported the administration of the mental health plan”;

(2) That the Costs “were administrative in nature”;

(3) That the Costs were “administrative in nature” because they relate to “personnel [who] are not, themselves, delivering a mental health service”; and

(4) That the activities in question were “central and necessary to administer the mental health plan”.

(1 AR 35-36, 39.)

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ALJ's term "administrative in nature" seems to use the term administrative in the ordinary, colloquial sense, rather than determining whether the cost benefited plan administration, the third cost objective. In this analysis, the salary of any administrative assistant whose job involved primarily using a computer could be allocated to plan administration, even if the person's efforts were directed solely to quality assurance,

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party has cited any law which allows the way the work is physically conducted to govern which cost objective it should be allocated to. The regulations indicates that it is the cost objective served, not the nature of the work, that governs. The key regulation which the parties agree apply states: "A cost is allocable to a Federal award or other cost objective if the cost is assignable to that Federal award or other cost objective in accordance with the relative benefits received." (2 C.F.R. § 200.405(a), emphasis added.) This makes the relative benefits received, rather than the nature of the work, the key criteria. Moreover, in a version of the regulation cited by the parties in the Administrative Record, the regulations expressly provide: "Identification with the Federal award rather than the nature of the goods and services involved is the determining factor in distinguishing direct from indirect ... costs of Federal awards." (10 AR 8501 [2 C.F.R. § 200.413(b), emphasis added].)[7]

It

does not appear appropriate to simply concludes that work is generally "administrative" and therefore should be assigned to plan administration. Consider, for example, the salary and benefits related to the position of a "Mental Health Client Specialist I & II" ("MHCS"), which appears in the Administrative Record at 10 AR 5315-5320 and the County includes among the "concrete examples of why [the Disputed Costs] were shared" between different objectives. (Opening Brief, 5:25-26.)

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MHCS' "Job Specifications" state that she will "[u]nder general supervision, ... provide a variety of professional mental health and/or substance use disorder services". (10 AR 5315.) It is difficult to see how this could not be regarded as a mental health services cost, allocable to the first cost objective. The specifications also require her to perform "related administrative functions in support of clients and their families" (Ibid.) These costs, one assumes, would be allocable to plan administration. The specifications describe "short term crisis intervention" and "counseling" among an MHCS'

duties, which again appear to be mental health services costs, but they also describe “care coordination”, “evaluation”, and “assisting in ... implementation” of care plans, which could feasibly be allocated to plan administration or quality assurance. The specifications refer to providing “crisis intervention services ... [and] walk-in crisis and/or street medicine” – again, services – while also stating the MHCS II performs “outreach”, which is expressly enumerated as a plan administration cost in the regulatory guidance. (See 10 AR 7986-7987 [Cost Reporting Instructions, pp. 17-18].) Also, the whole job description is qualified with a catch-all provision requiring the MHCS “to do other work as required”. Taken as a whole, the job description incorporates elements of all three cost objectives. Neither the Department nor the ALJ has supported allocating them entirely to plan administration.

The ALJ was correct to determine that the costs in question served multiple objectives. But at least based on the job descriptions in the administrative record, not all of the work these employees performed could be specifically identified with plan administration, nor could the work be readily assigned to plan administration with a high degree of accuracy.

The ALJ has determined that the Disputed Costs benefit multiple costs objectives. To allocate these disputed costs, the ALJ must do one of the following:

- (1) Find the costs benefit the multiple objectives in proportions that can be determined without undue effort or cost, and allocate the costs to objectives based on that proportional benefit; or
- (2) Find the costs’ proportional benefit cannot be determined without undue effort or cost, then allocate them among the benefited cost objectives based on a reasonable documented basis; or
- (3) Find the costs cannot be allocated among the multiple cost objectives without undue effort or cost and they cannot be apportioned on a reasonable documented basis, treat the costs as indirect, and allocate them equitably.

In making this determination, the ALJ should make clear whether she is determining the costs to be direct and applying options (1) or (2), or whether she is determining the costs to be indirect and applying option (3).

5. Supplemental Briefing

After the initial hearing, the Court called for further briefing. The important questions from this briefing are twofold: (1) Does 2 C.F.R. § 200.405(d), which describes "Direct cost allocation principles" and which the Court has discussed above, apply to this case, and (2) do any federal cases bear on the correct application of the regulations?

a.

Application of subdivision (d)

In its supplemental briefing, the Department argued that 2 C.F.R. § 200.405(d) applies only to "projects and activities" and not to a "Federal Award" as referenced in subdivision (a) of the same regulation. (Resp. Supp. Br. 8:4-14.) According to the Department, this case involves Federal Awards, but not projects or activities. (Ibid.) The Court does not agree with this argument.

Subdivision (a)
reads:

"Allocable costs in general. A cost is allocable to a Federal award or other cost objective if the cost is assignable to that Federal award or other cost objective in accordance with the relative benefits received."

Subdivision (d) –
quoted here for reference a second time – reads:

"Direct cost allocation principles. If a cost benefits two or more projects or activities in proportions that can be determined without undue effort or cost, the cost must be allocated to the projects based on the proportional benefit. However, when those proportions cannot be determined because of the interrelationship of the work involved, then ... the costs may be allocated or transferred to benefitted projects on any reasonable documented basis. Where the purchase of equipment or other capital asset is specifically authorized under a Federal award, the costs are assignable to the Federal award regardless of the use that may be made of the equipment or other capital asset involved, when no longer needed for the

purpose for which it was originally required.”

(2 C.F.R. § 200.405.)

Subdivision (a) includes the term “cost objectives.” The definition of “cost objective” appears in 2 C.F.R. § 200.1:

“Cost objective means a program, function, activity, award, organizational subdivision, contract, or work unit for which cost data are desired and for which provision is made to accumulate and measure the cost of processes, products, jobs, and capital projects. A cost objective may be a major function of the recipient or subrecipient, a particular service or project, a Federal award, or an indirect cost activity”

(10 AR 8489 [2 C.F.R. § 200.1], italics added.) “Federal award” is defined separately. It refers to:

“(1)(i) Federal financial assistance received directly from a Federal agency or indirectly through a pass-through entity”

(Ibid.) Neither “project” nor “activity” is separately defined in 2 C.F.R. § 200.1.

A reader is left with three separate relevant terms – “Federal awards”, “projects”, and “activities” – all of which fall under the definition of “cost objective.” Subdivision (a) refers separately to a “Federal award” or “other cost objective,” implicitly acknowledging that a Federal award is among the subcategories of the broader term “cost objective,” which also includes a “program, function, activity.”

Respondents’ argument on the point begs the question. Respondents assume that the Disputed Costs fall into the definition only of a Federal award, and not “projects” or “activities.” Respondent does not support that argument. “Federal award” appears to mean, in broad strokes, (1) actual disbursed funds or (2) the contracts governing their disbursement. It seems like the various uses for those funds – patient services, quality assurance, or administration – would better be

categorized within the broader categories of “projects” or “activities.” Given the continual conflation of the terms “Federal award” and “cost objectives” (including projects and activities) throughout the regulations, Respondents’ attempt to keep their definitions rigorously separate is not well taken.

The immateriality of the distinction is emphasized by both parties’ interchangeable use of the terms “cost objective” and “Federal award” in their papers (before the Court expressly asked them to distinguish between 2 C.F.R. § 200.405(a) and (d) via supplemental briefing). For Respondents particularly: at Opposition Brief 5:28, Respondents refer to “a specific Federal award or final cost objective”; at 6:4 it refers to “three federal awards or cost objectives”; at 11:14-15, to “identification with the Federal award ..., or final cost objective”; 15:24, to a “final cost objective/federal award”; at 16:5, to “a specific Federal award or final cost objective”; at 16:7, to a “Federal award or cost objective”; at 16:21, to a “cost object[ive]/Federal Award”. The Court acknowledges there are also several places in Respondents’ brief where it refers to the three objectives specifically as “Federal award[s]”. (See Opposition Brief, 12:23, 16:3, 16:14.) But the bulk of Respondents’ analysis refers to the two terms together.

Respondents also cite 2 C.F.R. § 200.413 – rather than 2 C.F.R. § 200.1 – for the definition of “cost objective”, focusing on that section’s reference to Federal awards. But quoted in full, section 200.413(a) reads:

“General. Direct costs are those costs that can be identified specifically with a particular final cost objective, such as a Federal award, or other internally or externally funded activity, or that can be directly assigned to such activities relatively easily with a high degree of accuracy.”

(10 AR 8501 [2 C.F.R. § 200.413(a)],
italics added.)

Section 200.413(a), quoted in its entirety, further implies that a Federal award may be treated as an “activity”, at least for purposes of the relevant regulations. Fundamentally, the Court concludes that the terms “Federal award”, “projects”, and “activities” may be treated interchangeably for the purposes of this dispute.

b. Application
of Relevant Case Law

The few federal cases the parties have located are only tenuously on point.

In *Arizona v. Thompson* (D.C. Cir. 2002) 281 F.3d 248 (Thompson), the D.C. Circuit examined whether states could “use their TANF funds to pay for all of the costs that are common to the administration of TANF, Medicaid, and Food Stamps.” (Thompson, *supra*, at p. 251.) The issue is distinguishable because it involved entirely separate federal programs, rather than objectives within a single program, as here.

The County’s federal district court case endorses a principle that “OMB Circular A–87 provides that common costs should ordinarily be allocated among benefitting programs,” citing Thompson. (*Nebraska Dept. of Health & Human Services v. U.S. Dept. of Health and Human Services* (D.D.C. 2004) 340 F.Supp.2d 1, 4 (*Nebraska v. HHS*).) Respondents point to the final clause in the sentence quoted above: “... common costs should ordinarily be allocated among benefitting programs, but OMB Circular A–87 does not require it.” (*Ibid.*, italics added.) Although OMB guidance might not require that allocation here, California law independently requires DHCS to maximize federal reimbursement. And the *Nebraska v. HHS* decision goes on to apply principles of equitable distribution, based on the assumption that the common costs are indirect and must be so distributed.[8]

In sum, the reasoning of the federal cases cited are not dispositive of the issues before the Court.

Conclusion

For the foregoing reasons, the Court GRANTS the Petition for Writ of Administrative Mandate.

The Court sets aside the ALJ’s decision and orders the matter remanded for the decision-maker to make findings consistent with this order, including by holding further fact-finding proceedings as necessary.

Appendix of Regulations

The following is an abbreviated set of quotations from the most relevant federal regulations at issue in the parties' dispute.

2 C.F.R. § 200.1. Definitions.

The following is a list of definitions of key terms frequently used in 2 CFR part 200. Definitions found in Federal statutes or regulations that apply to particular programs take precedence over the following definitions. ...

Allocation means

the process of assigning a cost, or a group of costs, to one or more cost objective(s), in reasonable proportion to the benefit provided or other equitable relationship. The process may entail assigning a cost(s) directly to a final cost objective or through one or more intermediate cost objectives. ...

Cost objective

means a program, function, activity, award, organizational subdivision, contract, or work unit for which cost data are desired and for which provision is made to accumulate and measure the cost of processes, products, jobs, and capital projects. A cost objective may be a major function of the recipient or subrecipient, a particular service or project, a Federal award, or an indirect cost activity, as described in subpart E. See also the definitions of final cost objective and intermediate cost objective in this section. ...

Federal award has

the meaning, depending on the context, in either paragraph (1) or (2) of this definition:

(1) (i) The Federal financial assistance that a recipient receives directly from a Federal agency or indirectly from a pass-through entity, as described in § 200.101; or

(ii) The cost-reimbursement contract under the Federal Acquisition Regulation that a

non-Federal entity receives directly from a Federal agency or indirectly from a pass-through entity, as described in § 200.101.

(2) The instrument

setting forth the terms and conditions. The instrument is the grant agreement, cooperative agreement, other agreement for assistance covered in paragraph (2) of the definition of Federal financial assistance in this section, or the cost-reimbursement contract awarded under the Federal Acquisition Regulations. ...

Final cost

objective means a cost objective that has allocated to it both direct and indirect costs and, in the recipient's or subrecipient's accumulation system, is one of the final accumulation points, such as a particular award, internal project, or other direct activity of a recipient or subrecipient. See also the definitions of cost objective and intermediate cost objective in this section.

...

Indirect cost means

those costs incurred for a common or joint purpose benefitting more than one cost objective and not readily assignable to the cost objectives specifically benefitted, without effort disproportionate to the results achieved. It may be necessary to establish multiple pools of indirect costs to facilitate equitable distribution of indirect expenses to the cost objectives served. Indirect cost pools must be distributed to benefitted cost objectives on basis that will produce an equitable result in consideration of relative benefits derived. For Institutions of Higher Education (IHE), the term facilities and administrative (F & A) cost is often used to refer to indirect costs.

2 C.F.R. § 200.402. Composition of Costs

The total cost of a Federal award is the sum of the allowable direct and allocable indirect costs minus any applicable credits.

2 C.F.R. § 200.405. Allocable Costs

(a) Allocable costs in general. A

cost is allocable to a Federal award or other cost objective if the cost is assignable to that Federal award or other cost objective in accordance with the relative benefits received. This standard is met if the cost satisfies any of

the following criteria:

(1) Is incurred specifically for the Federal award;

(2) Benefits both

the Federal award and other work of the recipient or subrecipient and can be distributed in proportions that may be approximated using reasonable methods;
or

(3) Is necessary to

the overall operation of the recipient or subrecipient and is assignable in part to the Federal award in accordance with these cost principles.

(b) Allocation of indirect costs.

All activities which benefit from the recipient's or subrecipient's indirect cost, including unallowable activities and donated services by the recipient or subrecipient or third parties, will receive an appropriate allocation of indirect costs.

(c) Limitation on charging certain

allocable costs to other Federal awards. A cost allocable to a particular Federal award may not be charged to other Federal awards (for example, to overcome fund deficiencies or to avoid restrictions imposed by Federal statutes, regulations, or the terms and conditions of the Federal awards). However, this prohibition would not preclude the recipient or subrecipient from shifting costs that are allowable under two or more Federal awards in accordance with existing Federal statutes, regulations, or the terms and conditions of the Federal awards.

(d) Direct cost allocation

principles. If a cost benefits two or more projects or activities in proportions that can be determined without undue effort or cost, the cost must be allocated to the projects based on the proportional benefit. However, when those proportions cannot be determined because of the interrelationship of the work involved, then, notwithstanding paragraph (c), the costs may be allocated or transferred to benefitted projects on any reasonable documented basis. Where the purchase of equipment or other capital asset is specifically authorized under a Federal award, the costs are assignable to the Federal award regardless of the use that may be made of the equipment or other capital asset involved, when no longer needed for the purpose for which it was originally required. ...

2 C.F.R. § 200.412. Classification of Costs

There is no universal rule for classifying certain costs as direct or indirect costs. A cost may be direct for some specific service or function but indirect for the Federal award or other final cost objective. Therefore, each cost incurred for the same purpose in like circumstances must be treated consistently either as a direct or an indirect cost to avoid possible double-charging of Federal awards. Guidelines for determining direct and indirect costs charged to Federal awards are provided in this subpart. ...

2 C.F.R. § 200.413. Direct Cost (Effective November 12, 2020 to September 30, 2024 as cited at 10 AR 8501)

(a) General. Direct costs are those costs that can be identified specifically with a particular final cost objective, such as a Federal award, or other internally or externally funded activity, or that can be directly assigned to such activities relatively easily with a high degree of accuracy. Costs incurred for the same purpose in like circumstances must be treated consistently as direct or indirect (F&A) costs. See also § 200.405.

(b) Application to Federal awards. Identification with the Federal award rather than the nature of goods and services involved is the determining factor in distinguishing direct from indirect (F&A) costs of Federal Awards. Typical costs charged directly to a Federal award are the compensation of employees who work on that award, their related fringe benefit costs, the costs of materials and other items of expense incurred for the Federal award. If directly related to a specific award, certain costs that otherwise would be treated as indirect costs may also be considered direct costs. Examples include extraordinary utility consumption, the cost of materials supplied from stock or services rendered by specialized facilities, program evaluation costs, or other institutional service operations.

(c) The salaries of administrative and clerical staff should normally be treated as indirect (F&A) costs. Direct charging of these costs may be appropriate only if all of the following conditions are met:

(1) Administrative or clerical services are integral to a project or activity;

(2) Individuals involved can be specifically identified with the project or activity;

(3) Such costs are explicitly included in the budget or have the prior written approval of the Federal awarding agency; and

(4) The costs are not also recovered as indirect costs.

2 C.F.R. § 200.413. Direct Costs (current version)

(a) General. Direct costs are those costs that can be identified specifically with a particular final cost objective, such as a Federal award, or other internally or externally funded activity, or that can be directly assigned to such activities relatively easily with a high degree of accuracy. Costs incurred for the same purpose in like circumstances must be treated consistently as direct or indirect costs. See § 200.405.

(b) Application to Federal awards.

The association of costs with a Federal award determines whether costs are direct or indirect. Costs charged directly to a Federal award are typically incurred specifically for that Federal award (including, for example, supplies needed to achieve the award's objectives and the proportion of employee compensation and fringe benefits expended in relation to that specific award). Costs that otherwise would be treated as indirect costs may also be considered direct costs if they are directly related to a specific award (including, for example, extraordinary utility consumption, the cost of materials supplied from stock or services rendered by specialized facilities, cybersecurity, integrated data systems, asset management systems, performance management costs, program evaluation costs, or other institutional service operations).

(c) Administrative and clerical staff salaries. Administrative and clerical staff salaries should normally be treated as indirect costs. Direct charging of these costs may be appropriate only if they meet all of the following conditions:

(1) The administrative or clerical services are integral to a Federal award;

(2) Individuals involved can be specifically identified with a Federal award; and

(3) The costs are not also recovered as indirect costs. ...

[1] Verbatim quotations of certain relevant regulations appear in an appendix to this ruling.

[2] In its opposition brief, for example, the Department refers to the three cost objectives as (1) an “actual direct services [award]”; (2) a “mental health services quality [assurance award]”; and (3) an “administrative costs [award]” (Opp. Brief, 6:4-6, citing 1 HT 43:11-20); these terms are consistent with the regulations, as are all the foregoing.

[3] The Court specifically avoids using the term “direct services costs” for the first cost objective, although it is frequently used in the relevant regulations. Referring to one of the three objectives as “direct ... costs” of any sort confuses the question of costs’ “direct” or “indirect” character. The costs’ allocation and character are separate, though closely related, questions.

[4] The ellipsis covers the full term as used in the federal regulations: “Indirect (facilities and administrative) costs”. The use of the term “indirect (facilities and administrative) costs” alongside the “plan administration” objective causes similar confusion to the use of “direct client services” alongside “direct costs”. The “facilities and administrative” parenthetical drops out of the phrase in state regulatory guidance (see 6 AR 3297 [DMH Letter 11-01]), and it does not appear to be at the root of the dispute.

[5] The Court takes judicial notice of 2 C.F.R. § 200.402 and §§ 200.405 and 200.412, *infra*, pursuant to Evidence Code section 451(b) and Government Code section 11344.6 (mandatory judicial notice of published regulations).

[7] Though not noted

by either party, this language does not appear to exist in the current version of the regulation. The first sentence of the subsection, quoted above, appears to have been replaced with the following: "The association of costs with a Federal award determines whether costs are direct or indirect." (2 C.F.R. § 200.413(b).) Though this language is not as clear, it is ultimately consistent with the earlier version of the regulation. Moreover, the parties implicitly appear to be indicating that the earlier version, which was in force between November 12, 2020, and September 30, 2024, which encompassed the ALJ decision, was the regulation in force at the relevant time period.

[8] The D.C. Circuit subsequently vacated

and remanded the *Nebraska v. HHS* ruling in part; without questioning the trial court's central conclusion, the Circuit held the trial court should have returned Nebraska's cost allocation plan to HHS for re-evaluation based on the trial court's ruling, rather than the court re-evaluating the cost allocation plan itself. (See *State of Nebraska Dept. of Health and Human Services v. Department of Health and Human Services* (D.C. Cir. 2006) 435 F.3d 326, 331.) That approach is consistent with the Court's ruling here.